

EXPLAINER

How Mortgage Rates Really Work

My Grate Mortgage Guide · 7 min read

Mortgage rates can feel mysterious — they move daily, everyone has an opinion, and the headlines rarely match your quote. Here's what actually drives your rate, and the parts you can control.

What a mortgage rate actually is

Your rate is the cost of borrowing, expressed as a yearly percentage. Even a small difference changes your monthly payment and the total interest you'll pay over the life of the loan — which is why it's worth understanding rather than guessing.

What moves rates (that you don't control)

Mortgage rates are tied to broad market forces, not set by any single lender. In general, they're influenced by:

- **The bond market.** Mortgage rates tend to track the yields on certain bonds; when those move, rates follow.
- **Inflation and the economy.** Rates generally respond to inflation trends and overall economic conditions.
- **Federal Reserve policy.** The Fed doesn't set mortgage rates directly, but its decisions ripple through the markets that do.

The takeaway: no lender can promise where rates are headed, and anyone who does should give you pause.

What you do control

This is where the real opportunity is. Several personal factors shape the rate you're offered:

- **Credit profile.** A stronger credit history generally earns a better rate.

Questions? Call or text (323) 313-8761

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Your loan officer: Anthony "Tony" Pelayo · NMLS #1501920

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- **Down payment / equity.** More skin in the game can improve your terms.
- **Loan type and term.** Different programs and a 15- vs. 30-year term price differently.
- **Discount points.** You can sometimes pay an upfront fee to "buy down" your rate — worth it only if you'll keep the loan long enough to break even.
- **Rate lock.** Once you're under contract, locking protects your rate for a set window while you close.

You can't time the market — but you can show up as the strongest borrower you can be.

Rate vs. APR — what's the difference?

Your rate is the cost of borrowing the principal. The APR folds in certain fees to reflect the broader yearly cost, which is why it's usually a bit higher. Comparing APRs can help you weigh offers, but always look at the full picture with your loan officer.

Should you wait for rates to drop?

Trying to time the bottom is a gamble even the experts lose. The better questions are: does this home and payment fit your life now, and what's your plan if rates change later? If a future drop makes sense, refinancing is always an option down the road. Marry the house, date the rate — as the saying goes.

The bottom line

Focus your energy on the levers you control and lean on a loan officer to time your lock and choose the right program. That's how you get the best rate available to you — regardless of the headlines.

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